

Nominal Returns 1973-2013	Corporate Bonds	T-Bills	US 10 Year	US 30 Year	Foreign 10 Year
Returns	9.29%	5.27%	7.74%	8.03%	8.54%
Volatility	6.62%	0.97%	8.43%	12.84%	7.52%
Sharpe	0.61	0.00	0.29	0.21	0.43
Max Drawdown	-20.08%	0.00%	-15.79%	-25.84%	-15.21%

Nominal Returns 1973-2013	TIPS	GSCI	REITs	Gold
Returns	7.66%	8.08%	9.49%	7.36%
Volatility	6.32%	20.37%	18.05%	20.88%
Sharpe	0.38	0.14	0.23	0.10
Max Drawdown	-11.89%	-67.65%	-67.88%	-64.97%

Source: Global Financial Data

While these are some pretty nice returns for these asset classes historically, they suffered through some large drawdowns.

Like we discussed before, nominal returns are illusory. You can't spend or eat nominal returns. Below in Figure 23 are the same building blocks but with real returns. Stocks were in the ballpark of 5-7%, bonds 0-5%, and real assets 3-5%. (Corporate bonds share equity-like characteristics, so we characterize them as 50% stocks and 50% bonds for purposes later in the paper.)

FIGURE 23 - Asset Class Real Returns, 1973-2013

Real Returns 1973-2013	US Large	US Small	Foreign EAFE	Foreign EEM
Returns	5.71%	7.16%	5.03%	7.50%
Volatility	15.74%	19.04%	17.65%	22.11%
Sharpe	0.30	0.32	0.23	0.29
Max Drawdown	-54.12%	-60.01%	-57.07%	-61.98%